

Daily Packet: 2026-05-16 to 2026-05-17

Trading_and_investment_papers plus Daily Shot when available.

WINDOW PDFS 7	CHART EXTRACTS 21	TOP CHARTS 3
DAILY SHOT skipped		

Bottom line: This packet is the one-stop morning read: curated chart evidence first, Daily Shot context second, and source links at the end.

Top Charts

1. Options are shaping the path of the underlying

2026-05-16 | BofA Systematic Flows Monitor Systematic flows stabilize as equity | page 23 [source PDF](#)

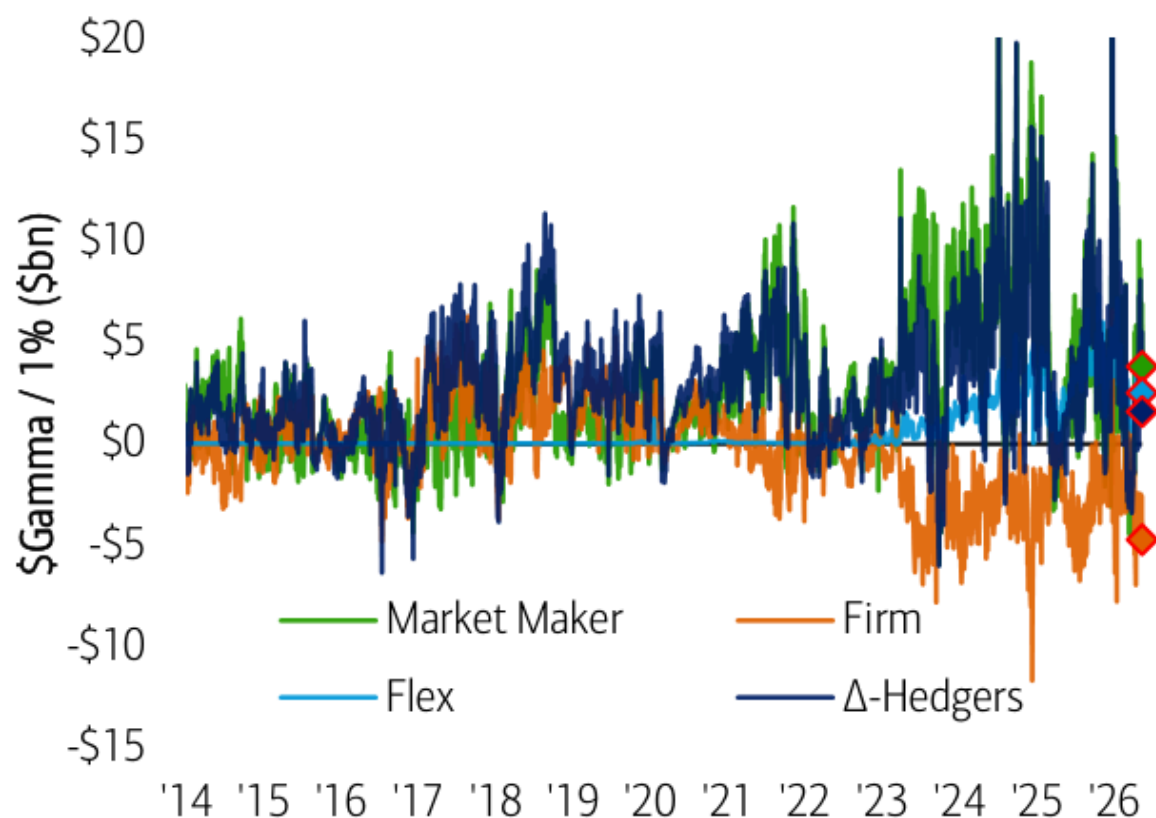
What it says: BofA Systematic Flows Monitor Systematic flows stabilize as equity: Systematic Flows Monitor | 15 May 2026 23 Exhibit 81: Historical SPX gamma for Firms, MMs, Flex and Δ -Hedgers Our estimates for Δ -Hedger (= firm + mm + flex) gamma assume that firms delta-hedge only regular options while market makers hedge regular & flex S...

Worldview update: The rally has become more flow-mechanical. Fundamentals still matter, but call demand, vol compression, and dealer positioning are first-order timing variables.

Portfolio/use: Favor defined-risk upside and start adding downside while hedges are ignored.

Exhibit 81: Historical SPX gamma for Firms, MMs, Flex and Δ -Hedgers

Our estimates for Δ -Hedger (= firm + mm + flex) gamma assume that firms delta-hedge only regular options while market makers hedge regular & flex



Source: RefA Global Research, CBOE Data as of 14 May 26

2. Oil stress is feeding rates, while equities are looking through it

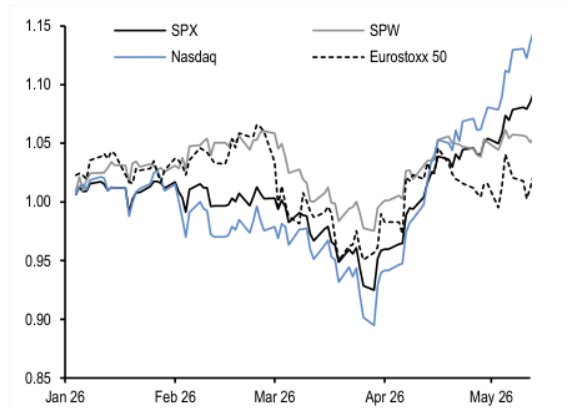
2026-05-17 | JPM The J P Morgan View Higher for Longer in Oil and Rates Own AI | page 3 [source PDF](#)

What it says: JPM The J P Morgan View Higher for Longer in Oil and Rates Own AI: Figure 1: Stick to our momentum view of “buying the winners” with AI upstream theme being the key pillar of our bullish outlook in risk assets Normalized YTD performance for Nasdaq, S&P 500, S&P 500 equally weighted, Eurostoxx indices; % 0.85 0.90 0.95 1.00...

Worldview update: The cleaner market signal is the cross-asset divergence: oil stress has mattered for rates, but equities are already looking through it. That calm is fragile if energy pressure starts feeding inflation or growth expectations again.

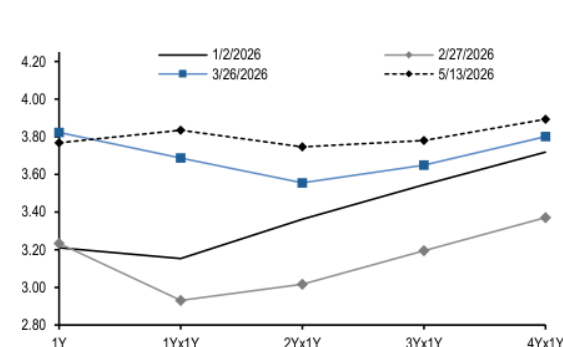
Portfolio/use: Track Brent, rates, and equity correlation together; use oil/rates stress as the warning light rather than treating headlines in isolation.

Normalized YTD performance for Nasdaq, S&P 500, S&P 500 equally weighted, Eurostoxx indices; %



Source: J.P. Morgan

USD OIS 1Y spot and 1Y forward rates



Source: J.P. Morgan

Table 1: Core recommendations by asset class

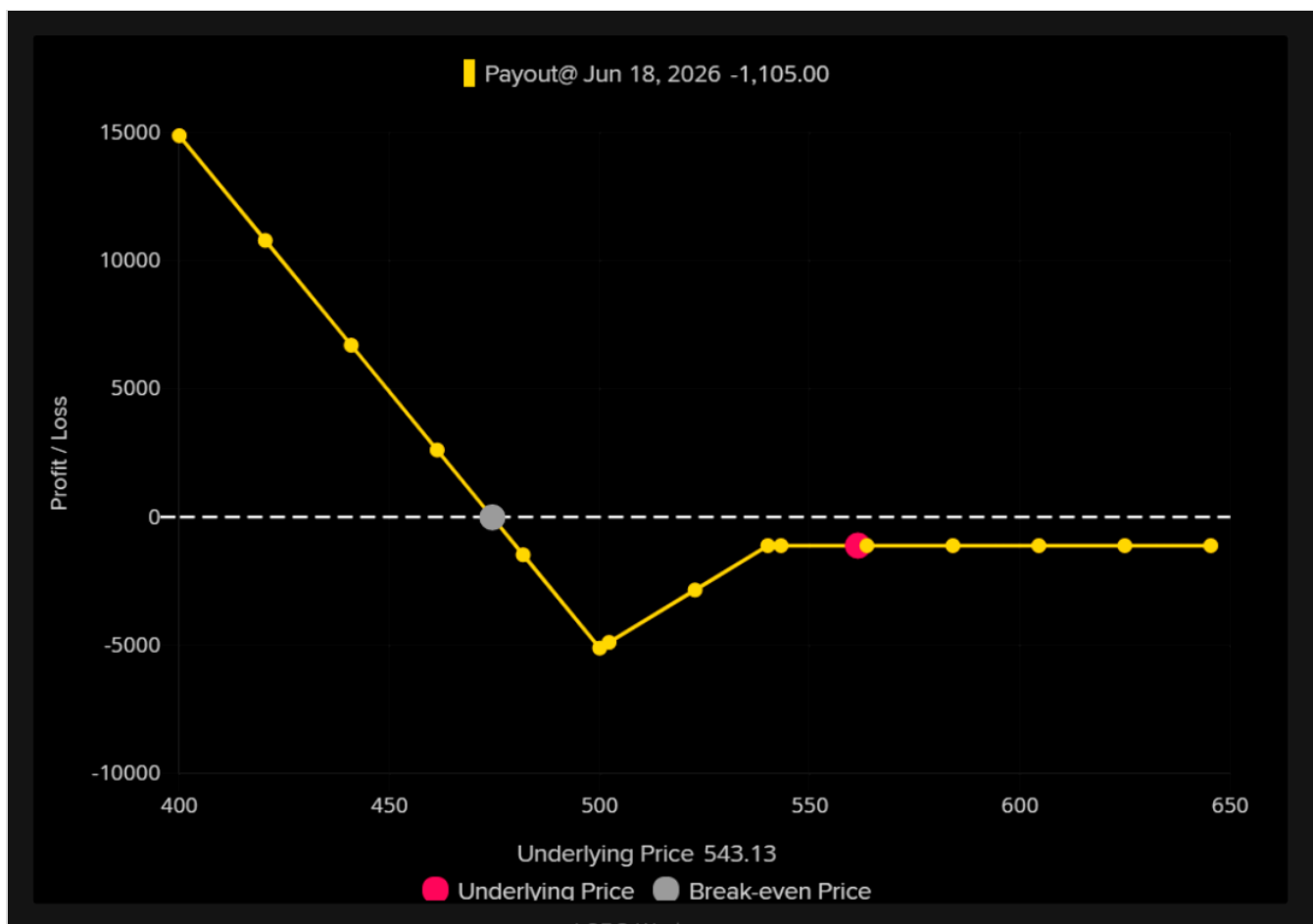
3. AI is becoming a capex, power, and politics story

2026-05-16 | One Of Tech's Biggest Rotations Is Brewing | page 2 [source PDF](#)

What it says: One Of Tech's Biggest Rotations Is Brewing: LSEG Workspace LSEG Workspace IGV IGV has bounced aggressively since hitting major range lows some weeks ago. Software has consolidated over the past week, but continues inching higher. A close above \$92 could re-ignite the squeeze. Note we are already back...

Worldview update: The AI trade is no longer only about demand and model progress. The constraint is shifting toward cash-flow intensity, grid capacity, permitting, and public tolerance.

Portfolio/use: Map AI exposure through power, grid, utilities, gas, and capex beneficiaries; be careful where capex consumes free cash flow.



Daily Shot

Daily Shot skipped: Daily Shot credentials are not configured.

Sources

[Chart report PDF](#)